

CARLSTAR GROUP LLC f/k/a	:	
CARLISLE TRANSPORTATION PRODUCTS, INC., and	:	
CTP TRANSPORTATION PRODUCTS, LLC,	:	
	:	
Complainants,	:	
	:	
v.	:	Docket No. 17-08
	:	
	:	
UTi, UNITED STATES, INC.,	:	
UTi, UNITED STATES, LLC, and	:	
DSV AIR & SEA, INC.	:	
	:	
Respondents.	:	
	:	

UTi, United States, LLC and DSV Air & Sea, Inc. (“DSV”), successors in interest to UTi, United States, Inc., (“UTi”) (collectively, “Respondents”), by and through Respondents’ attorneys, respectfully submit this Reply in accordance with the February 23, 2018 Preliminary Ruling (the “February 23, 2018 Preliminary Ruling” or “Preliminary Ruling”) and in response to Complainants’ March 23, 2018 Response to Respondents’ Supplemental Memorandum (Complainants’ March 23, 2018 Response”).

In Complainants' March 23, 2018 Response, Complainants attempt to resurrect arguments originally asserted in their Sur-Reply of January 31, 2018, which raised new arguments not under consideration in the Motion to Dismiss and cited to several new sections of FMC rules and regulations. This Sur-Reply was ordered stricken from the record and not to be

considered in ruling on Respondents' Motion to Dismiss. *See* Order Striking Complainants' Sur-Reply (February 23, 2018), *4. Complainants' most recent attempt to rehash the same arguments raised in the stricken Sur-Reply should likewise be disregarded by Your Honor for purposes of ruling on the Motion to Dismiss. Moreover, to the extent that Complainants make additional factual assertions in their Response beyond those asserted in their Complaint, these assertions have not been supported by affidavit and/or other competent evidence, and should be stricken from the record.

In the event that Your Honor declines to strike from the record Complainants' March 23, 2018 Response, Respondents provide the following comments regarding the Response.

A. UTi's Services for the Agreement Were Essentially Those of a Freight Forwarder Operating Pursuant to a Commercial Contract

In Complainants' March 23, 2018 Response, Complainants argue that UTi served as NVOCC for services rendered to Carlstar under the Carlisle Transportation Products Agreement and that the Agreement was a NVOCC Service Arrangement (NSA). *See* Complainants' March 23, 2018 Response, *3–*6. In fact, as set forth in Respondents' Supplemental Memorandum, UTi did not function as a non-vessel operating common carrier (NVOCC) while providing services to Carlstar. Rather, throughout the duration of the arrangement, UTi passed through actual rates, fees and charges from the respective ocean carriers to Carlstar without any mark-up on those rates, fees and charges. UTi charged for its services a fixed ocean management fee, certain other specified charges such as a brokerage fee (as applicable), and fixed handover charges and container management fees. *See* Compl. Ex. 1, App'x A, *10 and *12. In this way UTi functioned in a manner akin to an ocean freight forwarder (albeit for inbound shipments to the United States): negotiating favorable rates for Carlstar with ocean carriers, passing through those rates and surcharges without any mark-up and providing for the arrangement of

transportation services in exchange for a management fee. While UTi did issue house bills of lading, the essential character of UTi's services for Carlstar were those of an ocean freight forwarder. As such, the respective obligations of the Parties were governed by parameters and conditions set forth in the Carlisle Transportation Products Agreement, and subsequent amendments.

The Agreement and amendments thereto did not serve as an NSA. NSAs must specify origin and destination port ranges and the line-haul rate, and must have a certainty of terms. *See* 46 C.F.R. §531.6. Further, NSAs must be filed with the Commission. *Id.* Not only did UTi and Carlstar not intend the Agreement to be an NSA and, therefore, had no obligation to file the Agreement with the Commission, but per Commission regulations an agreement cannot be an effective NSA unless filed. An “unfiled NSA,” in other words, is a contradiction of terms. It is clear from the format of the Agreement—which is not in a format in which NSAs are typically drafted—and from Carlstar's failure to ever mention an NSA or to inquire as to the status of its filing during the many years of dealings between the Parties that Carlstar did not intend for the Agreement to be an NSA. Complainants are now attempting to shoehorn the Agreement into the term “NSA” to assert erroneously that the Commission has jurisdiction over Complainants' claims. The Agreement was in fact a commercial contract, the alleged breach of which should be resolved by arbitration per the Agreement's specific dispute resolution provision.

By alleging in the March 23, 2018 Response that UTi contended that it was ignorant of the Shipping Act and Commission regulations concerning NVOCCs, Complainants entirely misconstrue Respondents' statements. UTi intended to act, and did in fact act, as a freight forwarder for all shipments handled for Carlstar under the Carlisle Transportation Products Agreement and subsequent amendments, but Respondents acknowledged that UTi's overseas

offices (which did not understand the distinction between NVOCCs and freight forwarders to the same degree as the U.S. office) issued house bills of lading.

In any event, UTi abided by the provisions of the Carlisle Transportation Products Agreement, and subsequent amendments, to pass through rates and surcharges without any mark-up and to provide for the arrangement of transportation services in a fee-based exchange. Respondents respectfully reiterate that, as an agreement for ocean freight forwarding services, the Agreement and services provided thereunder do not fall within the scope of 46 U.S.C. § 41104(2)(A).

B. Respondents Have Not Withheld Important Documentation From Complainants

Complainants state that they requested for months the documentation to perform an accounting for the sums that Carlstar paid to UTi. See Complainants' March 23, 2018 Response, *6. Respondents acknowledge that their attempts to collect invoices from the relevant Vessel Operation Common Carriers ("VOCCs") for thousands of shipments between 2011 and 2016, in order to demonstrate to the Complainants that UTi did indeed pass-through the rates charged by the VOCCs to the Complainants without mark-up, took several months. Respondents respectfully emphasize that UTi is a legacy company that is no longer in existence. Nearly no legacy UTi employees remain with the company that acquired UTi, DSV Air & Sea Inc., and old UTi systems and databases have been phased out and are no longer operational. Subsequently, Respondents were obliged to reach out to individual VOCCs to request backup copies of carrier invoices in the interest of transparency, a time- and resource-intensive undertaking for the VOCCs with which they were unable to comply as urgently and quickly as Complainants demanded. Nevertheless, even before the Verified Complaint was filed Respondents had begun to send Complainants batches of VOCC invoices in order to demonstrate

that Carlstar did not suffer any pattern of overcharges. Following Complainants' filing of the Verified Complaint, Respondents continued to work to provide additional documentation to Complainants under the auspices of the mediation services provided by Consumer Affairs and Dispute Resolution Services (CADRS) at the Commission. Complainants' suggestions to the contrary are incorrect.

CONCLUSION

Respondents respectfully submit this Reply in accordance with the February 23, 2018 Preliminary Ruling and in response to Complainants' March 23, 2018 Response to Respondents' Supplemental Memorandum.

Dated: March 30, 2018

Respectfully submitted,

A handwritten signature in black ink, appearing to read "Ashley Craig", is written over a horizontal line.

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CERTIFICATE OF SERVICE

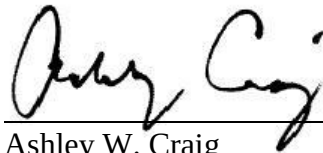
I hereby certify that I have this day served the foregoing document upon all parties noted below by mailing via electronic mail a copy to each such person:

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Counsel for Complainants

Dated at Washington, D.C. this 30th day of March 2018.

A handwritten signature in black ink, appearing to read "Ashley W. Craig", is written over a horizontal line.

Ashley W. Craig
Counsel for Respondents